Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
Phòng 605, Tòa nhà Mặt Trời Sông Hồng, 23 Phan Chu Trinh, Hoàn Kiếm, Hà Nội
Tel: 84-4-2220-9907 Fax: 84-4-2220-9909
Email: jbav-info@jbav.vn

The Japan Business Association in Vietnam
Room 605, Sun Red River Bldg., 23 Phan Chu Trinh St., Hoan Kiem Dist., Hanoi
Tel: 84-4-2220-9907 Fax: 84-4-2220-9909
Email: jbav-info@jbav.vn

THE JAPAN BUSINESS ACCSOCIATION IN VIETNAM	**THE SOCIAL REPUBLIST OF VIETNAM** Independent – Freedom – Happiness

No.: DN10/2016HHDNNB ---------o0o---------

V/v: *Proposal related to Draft implementation Decree11/2016/ND-CP*

Date 25th April 2016

To: **Ministry of Labor, War invalids and Social Affairs**

First of all, on behalf of Japan Business Association in Vietnam (JBAV), we would like to show our warm greeting, best regards and deep gratefulness to your support for our association over many years.

Decree 11/2016/ND-CP (stand for Decree 11) issued by Ministry of Labor, War invalids and Social Affairs (stand for MOLISA). It solves some difficulties of Enterprises related to foreign employees and the issuance Work permit (stand for WP). We would like to best thanks because of acceptation.

Recently, we have known that your Agency has issued Draft circular guiding the implementation of some articles of Decree No. 11 to get feedback from the relevant units.

After studying, we would like to send you some proposals for Draft as below:

1. **Demand of using foreign employee explanation report (Article 4, Draft)**

Submit and receive dossiers to request the issue, re-issue WP; foreign employee eligible for exemption from WP (Article 10, Draft)

The employer must send demand of using foreign employee explanation report or change of using employee explanation report; dossier to request the issue, re-issue WP; foreign employee eligible for exemption from WP to competent agencies by submit directly or post office or internet (if enough conditions to apply)

Draft has not regulated conditions to apply submit by post office and internet method. Therefore, we have proposal below:

- Competent agencies create a software system for receiving dossier related to foreign employees or;

- Enterprises can send documents by e-mail including copies of original documents and notarized versions.

The competent agencies announced the approval of the use of foreign employee or receipt via the system software or e-mail to the employer.

Besides, if it is necessary for having regulations on the criteria for assessing the reliability to enterprises allows submission of dossiers and receive electronic receipts via online, please provisions specifying those criteria. If not regulate about criteria, please mention clearly in the Circular that via internet submission method will be applied for all enterprises.

2. **Dossier to request the issuance WP (Article 6, Draft)**

For foreign employees are managers, executive director, they must have one of these documents: documents for demonstration of being manager or chief operating officer or written certification of being manager or chief operating officer which is certified by the organ, organization or enterprise where such foreign employees used to work.

In fact, after Decree 11 effective, Circular 03/2014/TT-BLDTBXH annulled, Department of Labor, War invalids and Social Affairs in some provinces don't accept prove written is manager, chief executive or confirmation written is manager, chief executive submitted by employer. So, we face to difficulty in submitting dossier for request issuing WP of that objects.

We would like to kindly request MOLISA after issue this Circular guide thoroughly to the competent agencies authorized issue the WP when receiving dossiers to help, support enterprise implementation this issue.

3. **Foreign employee eligible for exemption from WP (Article 9, Draft)**

Content "cumulative time not exceeding 90 days in 01 years", also employees have total time exceeds 90 days that entry to Vietnam for troubleshooting unexpected emergency arises, they can't apply for a WP procedure previously.

Therefore, we have proposal to supplement to the Circular of the following cases, allow foreign employees stayed under the service commitments of Vietnam follow WTO, also subject does not need to apply for WP and are exempt from the certification procedures do not need to apply for WP. Especially with cases (2) and (3), because there is no establistment (commercial presence) in Vietnam, can not apply for WP in accordance with existing regulations, so will hinder businesses.

(1) Managers, directors and specialists of foreign enterprises have set up base (commercial presence) in VN recruited from abroad to Vietnam operations that can not be replaced by Vietnam employees. (Section I, Item 4.b).

(2) Managers, directors are responsible for setting up establishments (commercial presence) first in VN is allowed to stay for 90 days. (Section I, item 4.d)

(3) Persons working for foreign enterprises no establishment (commercial presence) in Vietnam provides computer services and related services and technical consulting services are allowed to stay for 90 days (Section I, Item 4.e)

In addition, follow regulatation "01-year period in the regulations is period 12 months and calculated from the first day employee worked for the employer", the date calculates from the first working day worked for the employer is not justified. Maybe foreign employees entry to Vietnam working with various business purposes such as meetings, survey the project ..

Therefore, we have proposal:

01-year period stipulated in the period is 12 months and is calculated from the first day foreign employee carry out the work in Vietnam and for work purposes only, excluding the time for entry into Vietnam for various purposes including, but not limited to family visits, tourism, ...

4. **Report regime (Article 13, Draft)**

Follow regulation, before date 5th of the first month of the next quarter, the employer shall submit a report to the competent agencies demand of using foreign employee.

Period time 05 days referred to in the regulations is unclear. If it is consecutive days and coincides long vacation, enterprises are difficult to complete reports on time and accurately.

Therefore, we respectfully request clarification of this term is *"... previous 05 working days of the first month of the next quarter ..."*.

In addition, some regulations of Decree 11/2016/ND-CP have not been guided in the Draft. So, we have the following recommendations on the provisions of Decree 11 and respectfully request that you provide detailed guidance in the Circular going to be issued.

1. **Confirm foreign employee eligible for exemption from work permits (Decree 11, Article 8, Clause 3, Item c)**

"Documents prove foreign employees eligible for exemption from WP"

With those subjects don't belong to the cases specified at Point e, Clause 2, Article 7 of Decree 11, we would like to request MOLISA issue form for prove written foreign employees are exempt from applying for the WP.

Document proving includes personal information, purpose to work in Vietnam of foreign employee and certified by a competent person where foreign employee will work in Vietnam.

2. **Dossier to request the issuance WP (Decree11, Article 10, Clause 8, Item a)**

"If the foreign employee who is the holder of an unexpired WP wants to enter into the employment contract with another employer at the job position which is the same with that defined in his WP in accordance with the law..."

Currently, the law has no provisions regarding basis for determining the "same job position." We would like to propose the following:

Based on the content of the kind of work mentioned in the labor contract to define characters of job are same.

In any case, foreign employees without a labor contract with the company (moving internal of enterprise), they have to have the confirmation written of the employer.

3. **Dossier to request the issuance WP (Decree11, Article 10, Clause 8, Item b)**

"If the foreign employee who is the holder of an unexpired WP wants to hold another job position which is different from that defined in his WP in accordance with the law but the employer is unchanged, ..."

In many cases in fact, foreign employees only temporary positions change in a short time less than 03 months, then will return to their positions same the position mention in WP are also effective. Some cases occur in reality due to of health reasons or force majeure, foreign employee cannot continue to undertake the current position, the enterprise should allocate others employee to replace temporary or concurrently.

Therefore, we propose the following: "The employee changed positions, positions with a term of over 03 months" then need to make dossier for re-issuance of WP.

4. **Procedure to re-issue WP (Decree 11, Article 15, Clause 3)**

"After the foreign employee implement labor contract, after re-issued with the WP, the employer and employee shall sign a written labor contract in accordance with the labor law of Vietnam before the day on which the foreign worker intends to continue the employment with the employer".

We would like to propose:

Regulation above applies for foreign employees in case foreign employee and employer signed a short-term labor contract. *"In case, foreign employee and employer singed definite labor contract, it no need to follow regulation above".*

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5. **Revocation WP (Decree 11, Article 17, Clause 2)**

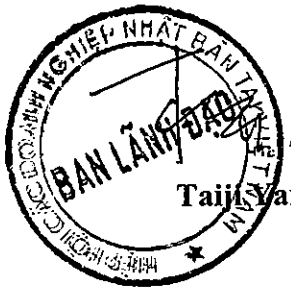
"The WP is revoked because the employer or the foreign employee violates in the compliance with regulations of Decree 11".

Violations scope mentioned above is too wide and not specific. We earnestly appeal to you clearly define the cases violated provisions of Decree 11 of the Circular issued guidance coming.

Finally, representatives of Japanese businesses operating in Vietnam, The Japan Business Association is committed to continue to strive and work hard for the economic development of Vietnam, we hope to continue to receive your support of the Ministry.

Thank you so much!

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
Chairman



Taiji Yanai

Recipients:
- *As above;*
- *MPI;*
- *Embassy of Japan in Vietnam;*
- *Japanese Business Association of Hochiminh City;*
- *Japan Business Asscociation in Danang.*